

ROE

17.99%

ROCE

5.12%

Net Profit Margin

28.89%

D/E

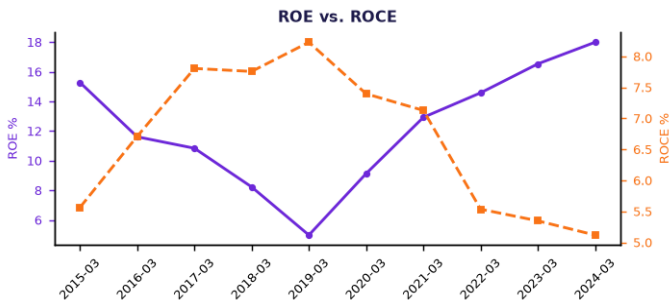
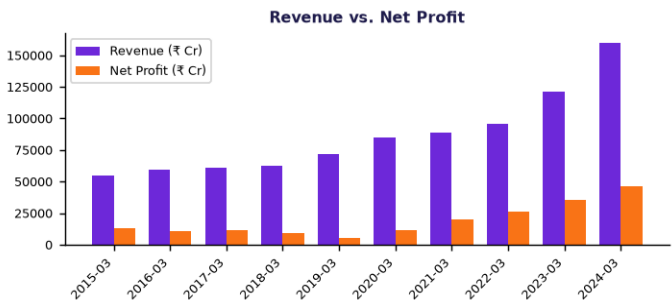
6.45

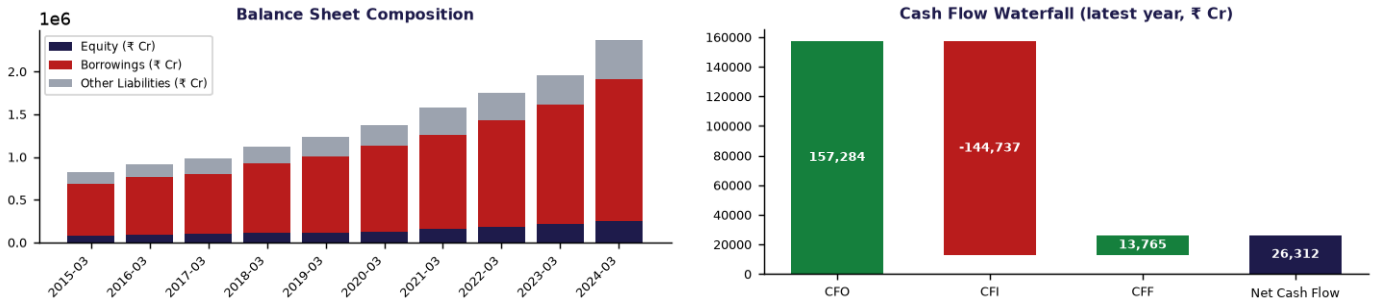
Revenue CAGR 5yr

17.25%

FCF (Rs. Cr)

12,547





Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (100% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (100% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (79% confidence)

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (100% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (100% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (84% confidence)
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (65% confidence)

Capital Allocation Pattern: **Mixed**